Revision Date:
05/01/2024

Background:
CalFresh benefits for the certification period must be determined using prospective budgeting and reasonably anticipated income.

Purpose:
This section describes the use of prospective budgeting and reasonably anticipated income to calculate CalFresh allotments. This section is being re-formatted after sunset review, there are no changes due to legislative updates.

Policy:
Reasonably anticipated income and prospective budgeting are defined below:

Term	Definition
Prospective Budgeting	The computation of a household (HH)'s CalFresh allotment, based on an estimate of income and circumstances which will exist.
Reasonably Anticipated Income	Any anticipated income the HH and staff are reasonably certain will be received during the certification period.

Prospective budgeting must be applied to calculate a (HH's) reasonably anticipated income and expenses for the purpose of determining benefits for a certification period, at:

- Application
- Semi-Annual Eligibility Status Report (SAR 7)
- Recertification
- When a HH is over Income Reporting Threshold (IRT)
- When information reported is Verified Upon Receipt (VUR)

Income that will or won't be reasonably anticipated, changes in income and/or expenses, calculation(s) applied, effective dates, and any case actions taken must be documented in the case record.

1. Reasonably Anticipated Income:
Reasonably anticipated income will be counted only in the month(s) it is expected to be received. The portion of income that is uncertain, because of when it will be received or amount expected, will not be counted. A HH that is reasonably certain of the income that will be received but the monthly amount may fluctuate, may elect to have their income averaged. For income to be reasonably anticipated the following must be known to staff and the HH:

- Income that has or will be received.
- Amount of the income is known and verified.
- Start date of the income is known and verified.

2. Stable Income:
Whenever a HH has stable income and does not expect any changes for the certification period, the worker will use either exact monthly figure that can be anticipated for each month of the certification period. Stable income received weekly or bi-weekly will be converted into a monthly average.

3. Fluctuating Income:
Income that varies each month during the certification period is considered fluctuating income. To budget fluctuating income eligibility staff must count the amount of income that a HH can reasonably anticipate during the certification period. If the averaged amount does not accurately reflect the HH's actual circumstances, calculate the income based on the amount that can be anticipated. Fluctuating income that cannot be anticipated will not be in the budget. Staff may use the most recently reported information when fluctuating income meets the following criteria:

- Income is seasonal.
- Income varies to the extent that a projection of future income cannot be anticipated.
- Income is unknown by how much or when it will be received.

Note: When a HH is unable to estimate income, staff may assist by contacting the employer or other source of income with written authorization from the HH member.

4. Contract/Self-Employment Income:
Contract and self-employment income must be averaged over the period the income is intended to cover. HHs who receive their annual income by contract or self-employment in a period shorter than a year, will have their income averaged over the period the business has been in operation. HHs that receive contracted income may include school employees, sharecroppers, farmers, and self-employed individuals. These provisions do not apply to migrant or seasonal farm workers. Please refer to the example below:

Example 1

Scenario: A HH applies for CalFresh in June, a member of the HH receives income that is considered contract/self-employment from August to April. The HH reports the job stops in April and expects to return in August. The HH member received the following income:

Aug.	Sep.	Oct.	Nov	Dec.	Jan	Feb.	Mar	Apr.
$1,600	$1,600	$1,600	$1,200	$1,200	$1,200	$1600	$1600	$1600

Outcome: To calculate average monthly income for the certification period, the income received from August to April must be averaged for the year as follows:

HH total income for the year	$13,200
Months in a year	12
Average monthly income	$ 1,100

5. Income Verification:
Eligibility and benefit amount for the certification period will be determined based on income verifications requested during the past 30 days, unless the income:

- Is not expected to continue.
- Is not representative of what the HH expects to receive during the certification period.
- Fluctuates to the extent that a 30-day period cannot be accurately anticipated.

A longer period of income history can be requested if it will provide a more accurate indication of future income. HHs with fluctuating seasonal income may use, the most recent season comparable to the certification period, rather than the last 30 days.

6. Counting Income that is Ending:
Income that is ending will be used to determine eligibility and benefit amount in the month in which it was reasonably anticipated to be received. Below are some examples on ending income:

Example: Application	
Scenario	A HH applies on the 25th of the month and reports income ended on the 21st of the same month. Income was received bi-weekly, paychecks viewed for the 7th $400 and 21st $380.
Outcome	The income total of $780 will be used to determine benefits for the application month only and not will not be counted for ongoing months. Factoring will not be applied.
Example: Recertification	
Scenario	A HH reports on the 26th day of the recertification month, income ended on the 3rd of the previous month, last amount received was $500.
Outcome	No income will count effective the month of the new certification period. The income received in the recertification month can no longer be reasonably anticipated.
Example: SAR 7	
Scenario	A HH reports on the 6th of the submit month, income ended on the 7th of the data month, amount received was $800.
Outcome	No income will count effective the month of the new certification period. The income received in the submit month can no longer be reasonably anticipated.

7. Reasonably Anticipated Expenses:
As part of prospective budgeting staff must reasonably anticipate a HHs expenses over the certification period. A HH's most recent bills will be used to anticipate the expenses, unless the HH is reasonably certain a change will occur. HHs reporting a one-time expense during the certification period may elect:

- A one-time deduction in the month the expense was billed or
- The expense averaged over the remaining months of the certification period

A deduction is allowed for the month the expense was billed or comes due, regardless of when the HH intends to pay the expense. Amounts carried forward from past billing periods are not deductible, even if included with the most recent billing and actually paid by the HH. For additional information on deductions, refer to chapter 63-230.

8. Fluctuating Expenses:
Fluctuating expenses may be averaged over the certification period, only if they are regularly recurring, reasonably anticipated, and verified to recur over the certification period. The HH may elect to average expenses billed less often than monthly over the certification period or claim the expenses in the month billed. Fluctuating expenses include but are not limited to:

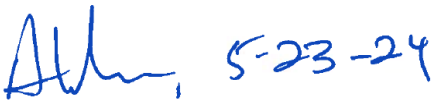
- Medical services
- Medical treatments received
- Prescribed medication

Note: Past expenses will be used only as an indicator of the expenses that are estimated or reasonably anticipated during the certification period.

References:
ACL: 17-35, 15-42, 12-25
MPP 63-503

Sunset Date:
This policy will be reviewed for continuance by 05/31/2027.

Approval for Release:



RICK WANNE, Director
Self-Sufficiency Services